Senate Commerce and Labor 1

Amendment No. 1 to SB1991

Bailey
Signature of Sponsor

AMEND Senate Bill No. 1991* House Bill No. 2233

by deleting all language after the caption and substituting:

WHEREAS, Tennesseans are charged billions of dollars every year for junk fees added to the costs of goods and services provided across a large swath of this State's economy, including in banking, air travel, online ticket sales, hotel bookings, delivery services, ride sharing, and car rentals; and

WHEREAS, junk fees obfuscate the true cost of a company's goods and services, luring in customers and undercutting competitors by advertising deceptively low prices and slowly adding on surcharges and fees later in the purchasing process; and

WHEREAS, these junk fees result in systematic transfers of wealth from low-information consumers to more educated ones; and

WHEREAS, such junk fees also result in confusion around advertised prices, which makes it harder for competitors with genuinely lower prices to compete with those who shroud their prices with hidden junk fees, and enable tacit collusion between competitors in the form of parallel decisions to make certain junk fees a standard part of the purchasing process; and

WHEREAS, deceptive pricing methods, acts, and practices create a confusing marketplace for buyers, and their existence structurally harms competition; and

WHEREAS, such deceptive pricing models have also enabled the proliferation of junk fees in this State's economy, so that consumers cannot take advertised prices at face value or comparison shop with any efficiency; and

WHEREAS, the General Assembly should take steps to address the rampant use of deceptive pricing methods, acts, and practices, known as junk fees, in order to combat artificially increased prices, exacerbated inflation, and harm to competition across the Tennessee economy; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Junk Fee Prevention Act."

SECTION 2. Tennessee Code Annotated, Title 47, Chapter 18, Part 1, is amended by adding the following as a new section:

47-18-139.

(a) As used in this section:

(1) "Consumer" means an individual who seeks or acquires, by purchase or lease, any goods or services for personal, family, or household purposes;

(2) "Delivery platform" means a third-party delivery service provider that does not produce the goods itself or set the price of the goods being delivered;

(3) "Goods":

(A) Means tangible chattels bought or leased primarily for personal, family, or household purposes; and

(B) Includes:

(i) Consumer financial products, as that term is defined in 12 U.S.C. § 5481;

(ii) Certificates or coupons exchangeable for consumer financial products; and

(iii) Goods that, at the time of the sale or subsequently, are to be so affixed to real property as to become a part of real property, whether or not they are severable from the real property;

(4) "Mandatory fee" includes:

(A) Any fee or surcharge that must be paid in order to purchase an advertised good or service;

(B) A fee or surcharge that is not reasonably avoidable; or

(C) A fee or surcharge for a good or service that a reasonable consumer would expect to be included with the purchase of the advertised good or service;

(5) "Person" means an individual, partnership, corporation, limited liability company, association, or other legal entity;

(6) "Services":

(A) Means work, labor, and services bought primarily for personal, family, or household purposes; and

(B) Includes:

(i) Consumer financial services, as that term is defined in 12 U.S.C. § 5481; and

(ii) Services furnished in connection with the sale or repair of goods; and

(7) "Transaction":

(A) Means an agreement between a consumer and another person, whether or not the agreement is a contract enforceable by law; and

(B) Includes the making of, and the performance pursuant to, such agreement.

(b) On and after July 1, 2027, a person shall not sell or lease, or attempt to sell or lease, goods or services to a consumer using the following deceptive pricing methods, acts, or practices as part of the transaction:

(1) Advertising or otherwise displaying the price of a good or service without displaying the total price of the good or service, including all mandatory fees, in a clear and conspicuous manner;

(2) Selling a good or service, or displaying a good or service being sold by a third party, without disclosing the portion of the purchase price that

represents a mandatory fee for the purchase in a clear and conspicuous manner prior to accepting payment for the good or service selected;

(3) Making a false or misleading disclosure of subtotals, fees, charges, or another component of the total price of a good or service;

(4) Presenting subtotals, fees, charges, or other components of the total price of the good or service less prominently or in a font size that is smaller than the font size used to present the total price of the good or service;

(5) Increasing the price of a good or service after a purchaser has selected the good or service for purchase;

(6) Charging an excessive or unreasonable fee or surcharge for the early termination of a contract for goods or services; and

(7) Charging a fee or surcharge for, or imposing other conditions or requirements on, the early termination of a contract for goods or services that was automatically renewed upon the expiration of the original contract.

(c) Subsection (b) does not apply to:

(1) Any tax, duty, or custom levied by a federal, state, or local governmental entity;

(2) Fees covering the cost of delivery of goods, the amount of which is based upon the delivery method selected by the purchaser, as long as the person discloses the amount of the delivery fees prior to accepting payment;

(3) A method, act, or practice declared to be unlawful by subsection (b) if the person alleged to have employed or committed such method, act, or practice:

(A) Proves that such violation resulted from a bona fide error notwithstanding the use of reasonable procedures adopted to avoid any such error; and

(B) Upon notice, makes an appropriate refund of the resulting overcharge to the consumer or consumers harmed by the violation within thirty (30) days of receipt of such notice;

(4) A person who can demonstrate that the person is governed by and compliant with applicable federal law, rule, or regulation regarding price transparency for the purposes of the transaction at issue, including, but not limited to:

(A) The federal Truth in Savings Act (12 U.S.C. § 4301 et seq.);

(B) The federal Electronic Fund Transfer Act of 1978 (15 U.S.C. § 1693 et seq.);

(C) Section 19 of the Federal Reserve Act (12 U.S.C. § 461 et seq.), as amended;

(D) The federal Truth in Lending Act (15 U.S.C. § 1601 et seq.);

(E) The federal Home Ownership and Equity Protection Act of 1994 (15 U.S.C. § 1639 et seq.);

(F) The federal Investment Company Act of 1940 (15 U.S.C. § 80a-1 et seq.);

(G) The federal Investment Advisers Act of 1940 (15 U.S.C. § 80b-1 et seq.); or

(H) The federal best interest regulation in 17 CFR 240.151-1, enacted pursuant to the Securities Exchange Act of 1934 (15 U.S.C. 78a et seq.);

(5) A person governed by federal law that preempts this section;

(6) A delivery platform that satisfies the following:

(A) At the point when a consumer views and selects either a vendor or items for purchase, the delivery platform displays in a clear and conspicuous manner that an additional flat fee or percentage is charged, and the amount of such additional fee or percentage; and

(B) After a consumer selects items for purchase but prior to checkout, the delivery platform displays a subtotal that itemizes the price of the menu items and the additional fee included in the total cost; or

(7) A food or beverage service establishment, including a hotel, if in every offer or advertisement for the purchase of a good or service that includes pricing information, the food or beverage service establishment displays in a clear and conspicuous manner the total price of the good or service on offer or advertised and the percentage of any mandatory gratuity charged.

(d) A violation of subsection (b) constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in this part. A violation of subsection (b) constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in this part.

(e) On or before October 1, 2026, the commissioner of revenue shall develop a public notice campaign designed to inform the public, with specific emphasis on notice to persons most likely to be directly impacted by the pricing requirements of subsection (b), of this section's requirements. The commissioner shall ensure that the public notice campaign is implemented on or before January 1, 2027.

SECTION 3. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following new subdivision:

( ) Violating § 47-18-139;

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it.